COST OUTLOOK

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Cocoa beans: cost outlook for a Belgian chocolate maker

Belgium · 2026-11-13

Prepared for **Brabant Chocolate Works NV (fictional)** · 2026-11-13 · Levente Frigyes
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FICTIONAL SAMPLE · ALL COMPANY DATA IN THIS DOCUMENT IS INVENTED FOR DEMONSTRATION

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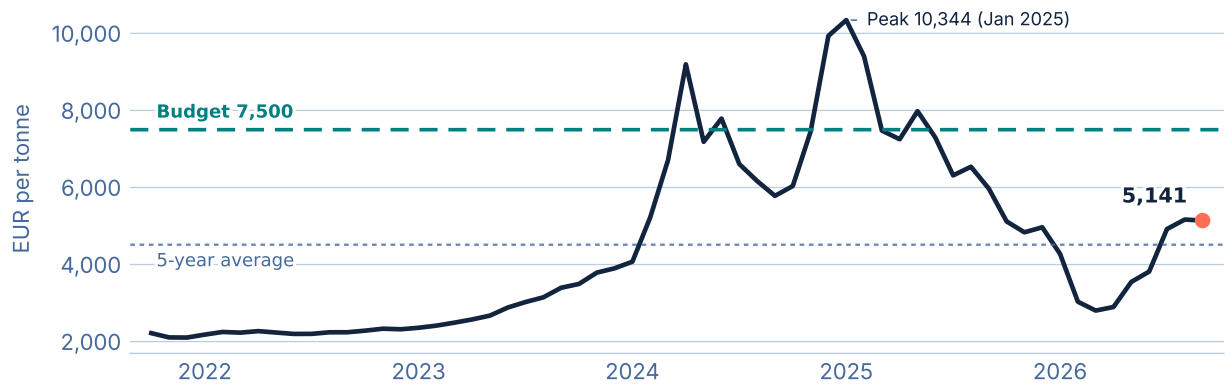
EUR 2,505k
ROOM AGAINST THE BUDGET
price −31.5% vs budget EUR 7,500/tonne

EUR 546k
COST PER 10% PRICE MOVE
= 10.5% of EBITDA

+EUR 917k
EXTRA COST IN A HIGH YEAR
= 17.6% of EBITDA

EUR 8,400k
ANNUAL COST AT TODAY'S PRICE
= 17.5% of revenue

Cocoa price in EUR: last five years (EUR per tonne)



Source: [S1] FRED, data to 2026-09-01; [S2] European Central Bank, data to 2026-10-01 · full references at the end

BOTTOM LINE

The cocoa price in EUR is 31.5% below the budget price, which leaves EUR 2,505k of room a year. The price would have to rise +45.9% to use it up; in the last ten years it rose that much within 12 months in 15% of cases.

KEY POINTS

- **The budget has room on cocoa today: EUR 2,505k a year.** Cocoa costs EUR 5,141 per tonne, −31.5% against the EUR 7,500 in the budget.
- **The room covers a High year, not a Severe one.** A High year from the last decade's history adds EUR 917k (17.6% of EBITDA); a Severe year adds EUR 3,971k and would take the cost above budget.
- **The price is below last year but above the five-year average,** and higher than in 82% of the last ten years' months. It rose 48.4% in the last three months against the three before and swings 56% a year.
- **Each 10% move costs EUR 546k (10.5% of EBITDA).** Cocoa is 17.5% of revenue; offsetting a High year needs 1.9% higher sales prices.
- **The dollar is part of the price:** cocoa is quoted in dollars, and EURUSD is 1.12 (−3.7% on a year). Sugar, the second input, is +13.6% on a year.

Where the indicators stand

INDICATOR	UNIT	LATEST	PERIOD	ON THE YEAR	VS 5-YEAR AVG	10-YEAR RANK	3-MONTH TREND
EURUSD exchange rate	USD per EUR	1.12	Oct 2026	−3.7%	+1.8%	47%	Flat
Sugar, world price	US cents per pound	17.94	Sep 2026	+13.6%	−7.4%	57%	Rising
Cocoa price in EUR	EUR per tonne	5,141	Sep 2026	−13.9%	+13.9%	82%	Rising

Source: [S1] FRED, data to 2026-09-01; [S2] European Central Bank, data to 2026-10-01; [S3] FRED, data to 2026-09-01 · full references at the end

10-year rank: share of the last ten years' months at or below the latest value (near the maximum = the highest level in ten years). 3-month trend: the last three months against the three before (Flat within ±2%, or ±0.1 pp for rates). Annual figures are the IMF's.

The indicators over five years

EURUSD exchange rate (USD per EUR)



Source: [S2] European Central Bank, data to 2026-10-01 · full references at the end

Sugar, world price (US cents per pound)



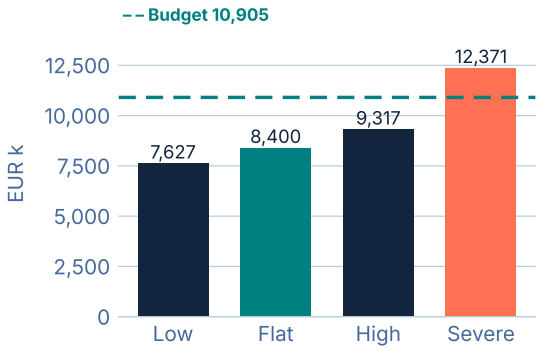
Source: [S3] FRED, data to 2026-09-01 · full references at the end

What it means for the company's cost

The company buys 1,500 tonnes a year at EUR 5,600 per tonne; 65% of the price follows the market price. Annual cost at today's price is EUR 8,400k, 17.5% of revenue.

Low, High and Severe are the 25th, 75th and 90th percentile of the price's 12-month changes over the last ten years; Flat keeps today's price. The largest 12-month rise in that period was +257.2%, and the price moved 10% or more within 12 months in 72% of cases. These are past outcomes, not a forecast.

Annual cost by scenario (EUR k)



Source: [S1] FRED, data to 2026-09-01; [S2] European Central Bank, data to 2026-10-01 · full references at the end

Annual cost under price scenarios · budget EUR 10,905k (EUR k)

SCENARIO	PRICE CHANGE	COST CHANGE	ANNUAL COST	% OF EBITDA	VS BUDGET
Low	−14.2%	−773	7,627	−14.9%	−3,278
Flat	0.0%	0	8,400	0.0%	−2,505
High	+16.8%	+917	9,317	+17.6%	−1,588
Severe	**+72.7%**	**+3,971**	**12,371**	**+76.4%**	**+1,466**

Source: [S1] FRED, data to 2026-09-01; [S2] European Central Bank, data to 2026-10-01 · full references at the end

Sensitivity of the annual result

MOVE	RESULT, WORSE SIDE	RESULT, BETTER SIDE	WORSE SIDE, % OF EBITDA	HOW OFTEN IN 10 YEARS
Cocoa price in EUR ±10%	−EUR 546k	+EUR 546k	−10.5%	72%
High year (+16.8%) / Low year (−14.2%)	−EUR 917k	+EUR 773k	−17.6%	25% each side
Rise that uses up the budget room (+45.9%)	−EUR 2,505k	–	–	15%

How often in 10 years: share of the last ten years' 12-month periods with a move at least this large (High and Low are the 75th and 25th percentile, so a quarter of years were beyond each). It shows how ordinary a move is; it is not a probability for the next year.

Drivers to watch

- Crop and weather news from West Africa (Côte d'Ivoire and Ghana grow most of the world's cocoa)
- Quarterly grindings data, which show how much cocoa processors use
- The EURUSD exchange rate
- EU deforestation rules, which may add certification and traceability costs to cocoa supply

Decisions this brief supports

- The cocoa assumption in the 2027 budget, stated as a range rather than one number
- Price lists and the timing of price changes to retail customers
- The share of next year's needs that the purchasing team agrees at fixed prices with suppliers

How the market price reaches the profit and loss account

Annual cost = volume × contract price; 65% of the contract price moves with the market price, so a 10% market move changes cost by EUR 546k, which is 10.5% of EBITDA. The market price is quoted in US dollars and converted at the ECB rate, so a weaker euro raises the euro cost of the same dollar price. The budget assumed 7,500 per tonne; the gap to today's level is the first number on page 1.

Cocoa price in EUR: why it matters and where it stands

Cocoa beans are the largest single input of a chocolate maker, so this price sets most of the cost of goods. Today 5,141 EUR per tonne, against a five-year average of 4,514 and a five-year range of 2,104 to 10,344. Only 18% of the last ten years' months were higher. It typically moves 56% in a year.

EURUSD exchange rate: why it matters and where it stands

Cocoa is traded in dollars; EURUSD turns the dollar price into the company's euro cost. Today 1.12 USD per EUR, against a five-year average of 1.10 and a five-year range of 0.98 to 1.18. 53% of the last ten years' months were higher. It typically moves 5% in a year.

Sugar, world price: why it matters and where it stands

Sugar is the second-largest ingredient and moves on its own drivers: Brazilian and Indian crops and energy prices. Today 17.94 US cents per pound, against a five-year average of 19.36 and a five-year range of 13.91 to 27.31. Only 43% of the last ten years' months were higher. It typically moves 22% in a year.

The last three months

Average of the last three months against the three before: Cocoa price in EUR +48.4%; EURUSD exchange rate −0.9%; Sugar, world price +15.9%. This shows the current direction of each indicator; one or two months do not make a trend, and the next edition will show whether it continues.

Reading the scenarios

Each scenario applies a 12-month price change that has happened before: a Low year (−14.2%), a High year (+16.8%) and a Severe year (+72.7%). For the company that is EUR −773k, +917k and +3,971k of annual cost. They show the size of past swings, not a forecast of the next one.

What it takes to pass a High year on to customers

Offsetting a High year in full would need sales prices 1.9% higher across all revenue; a Severe year would need 8.3%. Where customer contracts fix prices for the year, the cost lands in the margin first.

QUESTIONS FOR THE NEXT MANAGEMENT MEETING

- Which share of next year's volume is already priced, and which follows the market?
- How quickly can sales prices follow a High year, and with which customers?
- Should the next budget state the price as a range (Low to High) instead of one number?

Sources

[S1] FRED, Federal Reserve Bank of St. Louis · Cocoa beans, global price (IMF primary commodity prices) (PCOCOUSDM) · 2026-09-01 · https://fred.stlouisfed.org/graph/fredgraph.csv?id=PCOCOUSDM · accessed 2026-11-13 · series page: https://fred.stlouisfed.org/series/PCOCOUSDM

[S2] European Central Bank, Data Portal (SDMX) · EURUSD exchange rate (ECB reference rate, monthly average) (EXR/M.USD.EUR.SP00.A) · 2026-10-01 · https://data-api.ecb.europa.eu/service/data/EXR/M.USD.EUR.SP00.A?format=csvdata · accessed 2026-11-13 · series page: https://data.ecb.europa.eu/data/datasets/EXR

[S3] FRED, Federal Reserve Bank of St. Louis · Sugar, world price (IMF primary commodity prices) (PSUGAISAUSDM) · 2026-09-01 · https://fred.stlouisfed.org/graph/fredgraph.csv?id=PSUGAISAUSDM · accessed 2026-11-13 · series page: https://fred.stlouisfed.org/series/PSUGAISAUSDM

Method and definitions

How to read this brief. Every figure is public data (numbered sources above, with the date downloaded), arithmetic on the company's own inputs (marked as client input), or an official projection labelled as such. Statistics use monthly averages; rates change in percentage points (pp), prices in percent.

Definitions. 10-year rank: the share of the last ten years' months at or below today's level (near the maximum = a ten-year high). vs 5-year average: how far today's level is from the average of the last five years. 3-month trend: the last three months against the three before (Flat within ±2%, or ±0.1 pp for rates). Volatility: the typical yearly swing, from monthly changes over the last three years. How often in 10 years: the share of all 12-month periods in the last ten years in which the indicator moved at least this much; it describes the past, not a probability.

About the data. Monthly prices and rates are published with a delay of one to two months, so the latest month shown is the latest month available on the report date. Statistical offices revise recent figures; quarterly and annual series are shown as published. Exchange rates are ECB reference rates; commodity prices are IMF primary commodity prices; annual growth, inflation and unemployment figures and their projections are the IMF's, which updates them in April and October.

Scope. Price-risk and currency-risk management is outside the scope of this brief; discuss it with the company's bank or broker.

Important information

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